

Extensive Renovation — 1978 Ranch 1,800 sq ft — From \$1,800 to \$2,600 Rent — \$85k Cap

Executive summary — Residential property manager manages 140 single-family rentals for out-of-state investors around Austin. Focus property: 3 bed 2 bath, 1,800 sq ft ranch in Pflugerville, built 1978, owned by California investor, vacant 2 months after tenant trashed it. Current rent \$1,800, renovated comps \$2,600. Systems failing: carpet destroyed, kitchen cabinets water damaged, both baths original, HVAC 18 years old, roof 16 years old 2 layers, Federal Pacific panel, galvanized plumbing low pressure. Owner wants extensive renovation — full kitchen, both baths, LVP, HVAC, roof, panel upgrade, PEX repipe, windows, exterior paint — but wants high-end while manager needs ROI realistic durable mid-grade. Current approach: light turns \$8k-\$12k paint/carpet routine. Extensive prior: handyman disappeared mid-job, 4 months late, \$25k over, owner nervous, manager on hook. Budget \$85k all-in hard cap \$95k before partner approval, includes materials, labor, permits, manager 8% project fee. Holding cost \$2,400 mortgage + \$200 insurance/month vacant + lost rent, wants rent ready in 10 weeks, durable mid-grade LVP/quartz not custom, permits electrical/plumbing/roof City of Pflugerville. Constraints: HOA exterior paint approval, dumpster max 7 days visible, must secure nightly vacant, possible lead paint 1978 needs testing, ROI question \$85k to \$2,600. Prior GCs: one good at \$110/sq ft (\$198k for 1,800), one cheap \$55/sq ft cut corners plumbing led to slab leak. Need value GC investor-grade licensed insured between. Risks: scope creep from TikTok kitchens, hidden galvanized/cast iron under slab and Federal Pacific panel issues when walls opened, permit delays 2 weeks if engineering required for roof, over-improving vs market won't get ROI, manager reputation — if over \$95k or past 10 weeks owner pulls 12 homes from management. Success 12 months: done in 10 weeks within \$85k including fee and permits, rent ready \$2,600 with 2-year lease, no maintenance calls 12 months due to new HVAC/PEX/roof/panel, owner sees 12% ROI on \$85k vs \$1,800 prior, keeps 12 homes, and repeatable scope for other 1970s homes.

The decision

Extensively renovate 1978 ranch 1,800 sq ft from trashed \$1,800 rent to \$2,600 rent-ready with full kitchen, both baths, LVP, HVAC, roof, panel upgrade, PEX repipe, windows, exterior paint, within \$85k cap \$95k hard cap including 8% management fee and permits, 10-week rent-ready, durable mid-grade not luxury, with licensed investor-grade GC, or do light turn \$8k-\$12k and keep \$1,800 rent if extensive ROI does not pencil.

Decision maker

Residential Property Manager — manages 140 SFR for investors, Austin, oversees leasing, maintenance coordination, and capital projects for owners. Owner is out-of-state California investor with 12 homes under management.

Situation

Property: 3 bed 2 bath, 1,800 sq ft ranch, Pflugerville, built 1978, owned by California investor. Portfolio: manager has 140 SFR for investors. Current state: vacant 2 months after tenant trashed, carpet destroyed, kitchen cabinets water damaged, both baths original 1978, HVAC 18 years old, roof 16 years old 2 layers, Federal Pacific panel (fire risk), galvanized plumbing low pressure, possible cast iron under slab, possible lead paint due to 1978 build year. Market: current rent \$1,800, renovated comps \$2,600 — \$800 upside. Systems at end of life causing maintenance calls. Owner wants high-end but manager needs ROI realistic. Prior renovation experience: light turns \$8k-\$12k routine, extensive prior with handyman — disappeared mid-job, 4 months late, \$25k over budget. Two GCs used for larger jobs: one good but \$110/sq ft (\$198k total), one cheap \$55/sq ft cut corners caused slab leak 6 months later. Need investor-grade value GC licensed insured with SFR renovation track record between those price points.

Desired outcome

In 12 months: renovation done in 10 weeks within \$85k including 8% fee and permits, rent ready at \$2,600 to qualified tenant with 2-year lease, no maintenance calls for 12 months due to new HVAC, PEX repipe, roof, panel, LVP, quartz. Owner sees 12% ROI on \$85k investment vs \$1,800 prior rent, keeps 12 homes under management, and manager gains repeatable scope for other 1970s homes — what to do and not do for investor ROI, durable mid-grade not luxury.

Prior experience

- Light turns \$8k-\$12k paint/carpet routine — works but not enough for 1978 systems at end of life
- Extensive handyman job — disappeared mid-job, 4 months late, \$25k over, owner nervous, manager reputation at risk
- Licensed GC at \$110/sq ft — good quality but \$198k for 1,800 sq ft, too expensive for investor ROI
- Cheap GC at \$55/sq ft — cut corners on plumbing, slab leak 6 months later, cost more in long run

Priorities

- Durable mid-grade finishes for rental — LVP, quartz counters, shaker cabinets, not custom or luxury
- Systems that reduce maintenance calls 12 months — 18-year HVAC, 16-year 2-layer roof, Federal Pacific panel, galvanized plumbing must be replaced with new HVAC, PEX repipe, new panel, new roof
- 10-week rent-ready deadline — holding cost \$2,600/month vacant plus lost rent
- Budget \$85k all-in including 8% management fee and permits, hard cap \$95k before partner approval
- Licensed GC investor-grade with insurance, references from property managers for SFR renovations, not handyman
- Permits for electrical, plumbing, roof through City of Pflugerville and lead paint testing for 1978 build

Constraints

- Budget \$85k all-in hard cap \$95k before partner approval — includes materials, labor, permits, and manager 8% project management fee
- 10-week rent-ready deadline — holding \$2,400 mortgage + \$200 insurance per month vacant plus lost rent
- HOA exterior paint color approval and dumpster max 7 days visible, neighbors complained prior
- Vacant but must secure nightly — no open structure, tools secured
- Possible lead paint — 1978 build year requires testing and disclosure
- Permits electrical/plumbing/roof City of Pflugerville — could add 2 weeks if engineering required for roof
- Owner wants high-end but market only supports mid-grade — over-improving risk

Options considered

- Light turn \$8k-\$12k paint/carpet only — keep \$1,800 rent, low risk but continues maintenance calls and \$800 upside missed, insurance may not cover old roof/HVAC
- Extensive renovation investor-grade mid-grade within \$85k cap with licensed value GC — full kitchen, both baths, LVP, HVAC, roof, panel, PEX, windows, exterior paint, durable not luxury
- Extensive renovation high-end with luxury GC at \$110/sq ft — \$198k total, high quality but no ROI at \$2,600 rent, over-improves vs market
- Cheap extensive with \$55/sq ft GC — within \$85k but repeats slab leak and corner cutting, risk of 12-month maintenance calls and owner pulling 12 homes

- Sell as-is to investor — avoid renovation risk but lose management of 12 homes and owner relationship

Tradeoffs

- Light turn vs extensive — light avoids \$85k spend and 10-week risk but misses \$800 rent upside (\$9,600/year) and continues maintenance calls from 18-year HVAC and galvanized plumbing
- Mid-grade vs high-end — mid-grade LVP/quartz hits \$2,600 rent comps with ROI, high-end custom cabinets won't increase rent beyond \$2,600 in Pflugerville market
- Value GC vs luxury GC — luxury \$110/sq ft gives quality but \$198k no ROI, cheap \$55/sq ft within budget but slab leak risk and manager reputation risk losing 12 homes
- Full systems vs partial — full HVAC/roof/panel/PEX eliminates 12-month maintenance calls but costs more upfront, partial saves now but causes calls later and tenant turnover
- 10-week deadline vs quality — rushing to meet holding cost \$2,600/month risks cutting corners, but delaying adds holding and owner frustration

Risks and concerns

- Scope creep — owner sees TikTok kitchens and wants to add custom features beyond mid-grade, pushing over \$95k cap
- Hidden issues when walls opened — galvanized plumbing may reveal cast iron under slab, Federal Pacific panel may reveal aluminum wiring or more electrical work
- Permit delays — City of Pflugerville may require engineering for roof with 2 layers and panel upgrade, adding 2 weeks to 10-week deadline
- Over-improving vs market — high-end finishes won't get beyond \$2,600 rent in Pflugerville, ROI fails
- Manager reputation risk — if over \$95k or past 10 weeks, owner pulls 12 homes from management, significant revenue loss
- HOA and neighbors — paint approval delay, dumpster 7-day limit, secure nightly requirement, prior neighbor complaints

Unknowns

- Lead paint testing result for 1978 build — does it have lead requiring abatement?
- Exact plumbing under slab — galvanized to cast iron condition, will PEX repipe require slab cuts?
- Roof deck condition under 2 layers — will tear-off reveal rot requiring deck replacement?
- Exact permit timeline for City of Pflugerville for electrical panel upgrade and roof with 2 layers — will engineering be required?
- Market rent validation — will \$2,600 rent with mid-grade LVP/quartz hold or require incentives?

Decision criteria

- Licensed GC investor-grade with insurance, references from property managers for SFR extensive renovations, between \$55 and \$110/sq ft, proven at \$85k cap
- Detailed scope with line items for kitchen, both baths, LVP, HVAC, roof tear-off, panel, PEX, windows, exterior, permits, and unit pricing for hidden deck/plumbing/electrical
- All-in pricing \$85k hard cap \$95k including 8% management fee, materials, labor, permits, lead testing, and dumpster/HOA compliance
- 10-week rent-ready schedule with milestones, nightly securing, HOA paint approval, dumpster 7-day compliance, and penalty clause for delay

- Mid-grade durable finishes — LVP, quartz, shaker cabinets — not luxury, validated to achieve \$2,600 rent comps without over-improving
- No maintenance calls for 12 months due to new HVAC, PEX, roof, panel — warranty in writing

Next steps

1. Get lead paint test for 1978 build and core inspection for plumbing under slab and roof deck condition under 2 layers to set unit pricing baseline
2. Shortlist 3 licensed GCs investor-grade with insurance and SFR renovation references between \$55 and \$110/sq ft, with proof of Pflugerville permits
3. Request bids with line items: kitchen, both baths, LVP, HVAC, roof tear-off + new, panel upgrade, PEX repipe, windows, exterior paint, permits, lead test, dumpster/HOA compliance, unit pricing for deck/plumbing/electrical hidden conditions
4. Validate bids against \$85k cap \$95k hard cap including 8% fee, check mid-grade vs high-end finishes against \$2,600 comps to avoid over-improving
5. Select GC with detailed 10-week schedule with milestones, nightly securing, HOA approval, secure permits, set change-order process for scope creep to protect \$85k cap and 10-week deadline

Recommendation

Proceed with extensive investor-grade mid-grade renovation within \$85k cap including 8% fee and permits, not light turn and not high-end luxury, with licensed value GC (not handyman, not \$110/sq ft luxury) who has SFR investor renovation references and insurance. Require lead test, plumbing under slab and roof deck inspection for unit pricing upfront to avoid hidden change orders, detailed 10-week schedule with nightly securing, HOA paint approval, dumpster 7-day compliance, and locked scope to prevent TikTok scope creep. Target \$2,600 rent with LVP/quartz/shaker, not custom. If no GC meets \$85k cap with 10-week schedule and mid-grade scope, do light turn \$8k-\$12k and keep \$1,800 rent while marketing property to different investor who accepts lower rent.

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